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TAM CAPITAL

INVESTMENT STRATEGY AND RISK LIMITS POLICY

V1_JUL 2025

Approved by: **Board of Directors**
Date: [DD/MM/YYYY] (Place Stamp)

Document Control

Prepared By	CFO
Reviewed By	CEO
Endorsed By	Investment Committee & Audit Committee
Approved By	Board of Directors
Custodian	

Change Control

Ver.	Date	Brief Description of Changes
1		Initial Document

Issue Control

Sr. No.	Copy Holders
1	Board of Directors
2	Executive Committee
3	CEO
4	CFO
5	Finance/ Alternative Investments and Asset Management Staff

1. General Terminology

Unless the context requires otherwise, the following terms and expressions used in this Manual shall have the meanings set forth below:

- **Company**: Tam Capital Company.
- **Policy/Document**: Investment Strategy, Products, and Risk Limits Policy of Tam Capital Company.
- **Articles of Association**: The Articles of Association of Tam Capital Company.
- **Internal Governance Framework**: The internal governance document governing the operations related to Tam Capital Company, including policies, procedures, and control systems.
- **Authorized Person**: The individual with authority as defined in the Delegation of Authorities and Responsibilities Manual of the Company.
- **Authority**: Capital Market Authority (CMA) of the Kingdom of Saudi Arabia.
- **Market**: The financial market in the Kingdom of Saudi Arabia.
- **Control System**: The Company's control systems, whether financial, administrative, or operational.
- **CEO**: The Chief Executive Officer of Tam Capital Company.
- **Board Member**: A member of the Board of Directors or one of its sub-committees.
- **Independent Member**: A Board member who enjoys full independence.
- **Non-Executive Member**: A Board member who is not engaged in the day-to-day management of the Company and does not receive a monthly or annual salary from it.
- **Policy**: The overarching framework that guides operations.
- **Procedure**: The detailed steps to carry out a specific operational task.
- **Form**: A paper or electronic form used to complete a specific process or procedure.
- **Benchmark Index**: The main index of the target investment market or a suitable reference index that reflects the performance of the targeted investment sector.

2.Investment Strategy, Products, and Risk Limits Policy

2.1 Purpose

The purpose of this **Investment Strategy, Products, and Risk Limits Policy** is to define the strategies, controls, responsibilities, and methodological framework under which Tam Capital Company operates its investment activities—whether in managing its own funds, those of its clients, or in relation to the nature of investment instruments and products it develops and offers to clients, along with the associated risk limits of such investments.

2.2 Objectives

This Policy aims to achieve the following:

- Clarify the core strategies related to the investment decision-making process.
- Identify the target investment instruments and investment projects.
- Define the Company's investment product offerings.
- Document key investment constraints and risk limits.

2.3 Approval

This Policy shall be approved by the Board of Directors of Tam Capital Company based on the endorsement and recommendation of the Company's Investment Committee.

2.4 Amendments to the Document

Amendments to this Policy may be initiated upon request from the relevant organizational unit(s) proposing the amendment. The proposed changes shall be reviewed and supported by the Authorized Person and shall become effective upon approval by the Board of Directors, based on the endorsement and recommendation of the Investment Committee.

All approved amendments shall be promptly communicated to the relevant stakeholders identified in Section (2.7) below.

All updates shall also be recorded in the Document Information Annex to maintain a history of changes.

2.5 Effective Date and Ongoing Review

This Policy shall come into effect as of the date of its approval by the Board of Directors. It must be reviewed on an annual basis by the Investment Committee and the Audit & Risk Committee, especially upon the occurrence of internal or external changes that may necessitate its review or amendment.

2.6 Document Scope and Conflict Management

This Policy defines the strategies, controls, responsibilities, and methodological framework under which **Tam Capital Company** operates—whether in managing its proprietary funds, client funds, or in relation to the investment instruments, products, and services offered to clients, and the risk limits within which such activities are conducted.

The provisions of this Policy shall be applied in a manner that does not conflict with the Company's Articles of Association or any other applicable regulations governing its business operations. In the event of any conflict, the provisions of the higher regulatory authority shall prevail until the necessary amendment is made to this document.

In cases of extreme necessity that require an exception from any provision of this Policy, the Chief Executive Officer must seek prior approval from the Company's Board of Directors, based on the recommendation of the Investment Committee, for the specific exception.

2.7 Document Distribution and Confidentiality

For the purpose of this Policy, the following are considered **relevant stakeholders**: members of the Board of Directors, the Investment Committee, Asset Management staff, the Audit and Risk Committee, Compliance and Risk Management staff, and Operations staff.

This Policy and any subsequent updates shall be circulated to all relevant stakeholders via printed or electronic means, including the Company's internal network (intranet).

This Policy is considered **confidential internal documentation**, and it is prohibited to disclose or publish any part of it without obtaining prior written authorization from the Authorized Person.

3. Investment Strategies and Risk Limits

3.1 General Principles and Guidelines

1. **Shariah Compliance**:
   The Company strives to ensure that its investments—whether proprietary or on behalf of clients through funds or portfolios—comply with the principles of Islamic Shariah. All investment opportunities and instruments proposed by the executive management and classified as Shariah-compliant must be reviewed and approved by the Shariah Committee (if established) or an accredited Shariah advisor.

2. **Risk-Return Alignment**:
   The expected return of any investment must be proportionate to the level of risk associated with the planned investment.

3. **Liquidity Management**:
   The Company shall maintain an adequate level of liquidity to meet its ongoing obligations.

4. **Leverage**:
   The Company may utilize external financing sources to enhance returns on shareholders' equity.

5. **Capital Adequacy**:
   The executive management shall monitor the Company's capital adequacy on an ongoing basis in accordance with the standards issued by the Capital Market Authority, to ensure compliance with the minimum net equity margin.

6. **Conflict of Interest**:
   The Company seeks to avoid situations that may give rise to conflicts of interest. In cases where a potential conflict is identified that could compromise objectivity or independence in decision-making, the situation must be disclosed to affected parties.

7. **Suitability**:
   Company staff are responsible for verifying the suitability of investment products offered to clients, based on their risk tolerance and income levels. If an investment product is deemed unsuitable, the associated risks must be clearly disclosed to the client.

8. **Credibility and Transparency**:
   Staff must adhere to the highest standards of credibility, transparency, and clarity in presenting material information that could impact the investment decision-making process.

3.2 Investment Types

The available types of investments (investment scope) include:

- **Securities Investment**:
  Investments in listed securities on the financial market or those that are expected to be listed within a period not exceeding one year (e.g., initial public offerings during the book-building phase).

- **Money Market Investment**:
  Short-term investments (up to 18 days) in Murabaha contracts and trade finance agreements.

- **Direct Investment**:
  Direct equity investments in companies not listed on the Saudi financial market or any other financial market. Also referred to as **private equity investments**.

- **Investment in Investment Funds**:
  Investments in funds, whether managed internally by the Company or externally by another licensed investment manager.

3.3 Main Investment Strategy Classifications

Tam Capital Company applies the following primary investment strategies:

1. **Growth Strategy**:
   A strategy focused on outperforming the average market performance and achieving

high capital growth over a medium to long-term horizon (36 to 60 months). It involves concentration on equities and rights issues, with no restrictions on the number of holdings in the portfolio, and may include holding cash or highly liquid, low-risk investments up to 10% of the portfolio value.

2. **Balanced Strategy**:
   Aims for moderate capital growth over the medium term (up to 36 months) with a risk-return profile lower than the growth strategy. It includes a diversified selection of up to 30 securities with different risk levels (e.g., equities, rights issues, debt instruments, ETFs), and may hold cash or highly liquid, low-risk investments up to 50% of the portfolio value.

3. **Conservative Strategy**:
   This strategy aims to outperform the average dividend yield of the target market while achieving balanced capital growth over the long term (up to 60 months), by investing in a limited number of securities, with a maximum of 30 financial instruments. The portfolio includes a mix of low-risk securities—such as blue-chip equities, rights issues related to securities issued by leading companies, debt instruments, and exchange-traded funds (ETFs)which are characterized by risk indicators lower than those of the target market. The strategy also allows for maintaining cash or investing in low-risk, highly liquid instruments up to 1% of the total portfolio value.

4. **Income Strategy**

   This strategy aims to concentrate investments in securities expected to deliver dividend yields at least 1% absolute point higher than the benchmark index yield. It is a long-term investment strategy (up to 60 months) that involves a mix of fixed, regular, or semi-regular income-generating instruments with varying risk levels, such as equities, rights issues, debt instruments, and income-focused mutual funds. The strategy also allows for maintaining cash or allocating up to 50% of the portfolio value in low-risk, highly liquid investments.

5. **Flexible Strategy**

   This strategy aims to outperform the average return of the target market and achieve capital growth over the medium term (up to 36 months) by maintaining a high level of risk. It offers the flexibility to alternate between any of the main investment strategies (Growth, Balanced, Conservative, and Income) based on prevailing market conditions

and at the discretion of the portfolio manager. The strategy allows for maintaining up to 100% of the portfolio value in cash or low-risk, highly liquid investments.

6. **Focused Strategies**

   These strategies aim to outperform the average return of the target market and achieve capital growth over the medium term (up to 36 months), with a high-risk profile by focusing on specific sectors or groups of securities with defined characteristics. The strategy allows for maintaining up to 10% of the portfolio value in cash or low-risk, highly liquid investments.

Subcategories of Focused Strategies include:

- **Sector Focus:**
  Investing in securities within a specific sector of the target market.
- **Large-Cap Focus:**
  Investing in securities issued by companies whose market capitalization represents 2% or more units of the target market index.
- **Mid-Cap Focus:**
  Investing in securities issued by companies with a market capitalization between 1% and 2% units of the target market index.
- **Small-Cap Focus:**
  Investing in securities issued by companies whose market capitalization is less than 1% of the target market index.

3.4 Investment in Securities

1. The Company may invest in securities.
2. The Company classifies its securities investments into two categories:
   - **Trading Securities:**
     Securities held for short-term investment (up to 24 months) for the purpose of realizing capital gains.
   - **Available-for-Sale Securities:**
     Securities are held for medium to long-term investment (36 to 60 months) with the aim of earning dividend income, realizing capital gains, or both.

3. The classification of each investment shall be determined at the time of execution by the authorized investment officer, in accordance with the approved Delegation of Authority Matrix.

4. Reclassification between Trading and Available-for-Sale categories may occur upon a change in the Company's intention regarding the holding period, subject to approval by the authorized officer per the Delegation of Authority Matrix.

5. Investment in trading securities shall be based on general market studies conducted by the Asset Management team, identifying key sectors and qualifying companies, including the criteria used for such selection. External research by licensed financial institutions may also be utilized.

6. The desired annual return on the trading securities portfolio shall be **7%**, or the return of the target market index, whichever is higher, over the investment period.

7. Investment in available-for-sale securities shall be based on company-specific research conducted by the Asset Management team, covering key strengths and weaknesses, projected financial performance, and target price. Research from licensed financial institutions may also be considered.

Management of Securities Portfolio

8. The Company's securities portfolio shall be managed in accordance with the Balanced Strategy as outlined in Section 3.3(2) of this document.

9. The maximum allocation to securities investments relative to the Company's total investment portfolio shall not exceed **80%**.

10. The maximum allocation to **trading securities** within the securities portfolio shall not exceed **70%**.

11. The maximum allocation to **available-for-sale securities** within the securities portfolio shall not exceed **90%**.

12. The targeted annual return for the available-for-sale securities portfolio shall be **10%**, or the return of the relevant market index, whichever is higher, over the investment horizon.

13. The Company's investments in securities shall be managed by the Chief Financial Officer (CFO) and the Chief Executive Officer (CEO). All transactions shall be executed in accordance with the Company's approved Delegation of Authority Matrix and in compliance with the investment guidelines set forth in this document. The trading account shall be opened with a local bank (broker) approved by the authorized signatory.
14. Permitted investment markets include the Saudi Stock Exchange (Tadawul) and any other financial market approved by the Company's Investment Committee.
15. The guidelines and standards for investing client assets in securities shall be defined in accordance with the terms and conditions of each investment product offered to clients.

3.5 Investments in Money Markets

1. To manage short-term liquidity in low-risk investments, the Company may invest its temporary cash surpluses in short-term instruments (up to 180 days), such as Murabaha contracts and trade finance agreements.
2. The CFO, in coordination with the CEO, shall determine the investable surplus and investment tenors. Investments shall be placed through a licensed local bank, following receipt of indicative pricing and projected return estimates.
3. Maturities of contracts shall be staggered over one, two, three, and six months to maintain the desired level of liquidity.
4. The desired annual return on money market investments shall be based on the average market return for the investment period.
5. The guidelines and criteria for investing client assets in money markets shall be determined according to the terms and conditions of each investment product offered to clients.

3.6 Direct Investments

1. The Company may invest in the equity of unlisted companies.

2. The target company must be legally established as a **Closed Joint Stock Company**. Investment in **Limited Liability Companies** is permitted only if effective governance and decision-making processes are ensured at the board level and the investment is approved by the Company's Board of Directors.
3. The target company must have been in operation for no less than four (4) Gregorian years, with a minimum paid-up capital or total shareholders' equity of SAR 10 million. Exceptions may apply to companies classified as **Venture Capital** (start-ups or early-stage), whether through partnerships or direct incorporation by Tam Capital.
4. The target company must have achieved a minimum average return on equity (ROE) of **20%** over the past two fiscal years, except for companies classified as Venture Capital.
5. The target company is expected to deliver an annual return of no less than **15%** based on the total investment cost.
6. The target company should distribute at least **50%** of its annual earnings, with a stable dividend policy expected. Exceptions apply to Venture Capital companies and those in **growth or expansion stages** that require reinvestment of earnings into core operations.
7. Tam Capital focuses its direct investments on companies operating in the following sectors:
    - Retail
    - Education
    - Healthcare
    - Food and Beverages
    - Telecommunications and Information Technology
    - Real Estate Development
8. The maximum allocation to **direct investments** shall not exceed **40%** of the Company's total investment portfolio.
9. The maximum allocation to a **single sector** within the direct investment portfolio shall not exceed **35%** of the Company's total direct investments.
10. The value of the target company shall be determined based on a valuation study and due diligence conducted by independent advisory parties.

11. The maximum direct and indirect ownership percentage in any company shall not exceed (70%).
12. The maximum value of the company's direct and indirect ownership in any company shall not exceed SAR 25,000,000 (Twenty-five million Saudi Riyals).
13. The cumulative loss stop limit for direct investments shall be (30%) of the original investment cost, with exit decisions made based on the CEO's recommendation and approved by the Investment Committee.
14. The controls and standards for investing client assets in direct investments (private equity) shall be determined according to the terms and conditions of each investment product offered to clients.

3.7 Investments in Investment Funds

1. The company shall invest in all funds managed by it unless the investment decision is expected to reduce liquidity below the level specified in paragraph (11.3) of this document or breach the minimum capital adequacy requirements according to financial adequacy rules.
2. The maximum percentage of the company's assets invested in any fund managed by the company at the time of fund establishment is (50%) of the fund's net asset value.
3. The maximum value of the company's assets invested in any fund managed by the company at the time of establishment is SAR 50,000,000 (Ten million Saudi Riyals).
4. The maximum percentage of the company's assets invested in any investment fund managed by another licensed entity at the time of investment is (10%) of the fund's net asset value.
5. The maximum value of the company's assets invested in any investment fund managed by another licensed entity at the time of investment is SAR 10,000,000 (Ten million Saudi Riyals).
6. Exits from investment funds managed by third parties shall be according to the funds' terms and conditions memoranda and the following strategies:
    a. If growth/returns on investment are achieved or periodic reports indicate that fund projects are proceeding as planned and targeted returns are likely, exit shall occur

at the end of the fund's term and liquidation by the fund manager, or upon receiving a purchase offer for the fund units at a price achieving the target return, whichever occurs first for closed-ended funds. For open-ended funds, exit occurs upon achieving the targeted returns.

b. If there is a decline/loss on investment or reports show deviations from the planned progress of the fund projects, and it is unlikely that the targeted returns will be achieved, and cumulative losses reach (20%) or more, exit shall be immediate by accepting the best available purchase offer for the fund units, provided that net proceeds do not fall below expected proceeds if waiting until the fund's end, applicable for closed-ended funds. For open-ended funds, exit shall be immediate upon reaching cumulative losses of (20%) or more.

c. Early exit from open-ended investment funds shall follow the redemption mechanism stated in the terms and conditions brochure of each investment fund.

7. Exits from funds managed by the company shall be according to the mechanisms outlined in the related terms and conditions of those funds.

8. The company may invest the surplus cash of its investment funds in short-term, low-risk investments.

9. The company may establish special purpose vehicles (SPVs) as needed and according to the Capital Market Authority instructions to serve as the legal entity handling the fund's operations and asset custody.

10. All investment funds may be offered publicly or privately according to the nature of each fund and by decision of the company's Investment Committee.

11. The fund memorandum of terms and conditions specifies the investment strategies of the fund and any restrictions on the type and size of its investments in light of the regulations and instructions issued by the Capital Market Authority.

12. Controls and standards for investing client assets in investment funds shall be defined according to the terms and conditions of each investment product offered to clients.

3.7.1 Real Estate Investment Funds

1. The company invests in and manages the following types of real estate funds:

   a. **Primary Development Funds:** Real estate investment funds aimed at acquiring raw land and performing primary development (including roads, electricity, paving,

water, telephone, sewage) before selling or leasing the developed land parcels to real estate investors wholesale.

b. **Construction Development Funds:** Real estate investment funds aimed at acquiring raw or primarily developed land and subsequently constructing residential or commercial complexes on it for sale or lease.

c. **Income Real Estate Funds:** Real estate investment funds that acquire developed properties generating regular income (rental yields) and distribute regular returns to unit holders from the income generated by the owned properties.

d. **Real Estate Opportunity Funds:** Flexible investment strategy funds that trade various real estate opportunities including raw land, developed land, residential, and commercial real estate.

e. **Multi-Project Real Estate Funds:** Flexible strategy funds investing in several real estate projects, whether primary development, construction development, income-generating properties, their development, and exit, in addition to trading real estate opportunities.

2. The investment or management strategies for Primary Development Funds include:

a) Focusing on medium-sized cities instead of major cities, with city selection based on minimum criteria including:

- Population size
- Development projects (universities, economic cities, industrial cities)
- Purchasing power
- Current and expected demand
- Current and expected supply
- Competition level (existing and expected similar projects)
- Experience of a company or real estate developer in the area

b) The selected land must be located within the urban development area of the city and inside the approved urban development boundaries. The land should be solid, buildable, flat, free of geological defects, and not situated in a low-lying area or floodplain.

c) The minimum expected net annual return for the project is set at (12%) in case of sales and (6%) in case of leasing, after deducting commissions and management fees.

d) The investment period must be equal to or less than (36) months from the start date of the fund's operations.

e) A liquidation timeframe margin not exceeding (24) months shall be set.

f) The landowner may contribute in-kind part or all the land value to the fund and convert it into units. Entry may also be structured through establishing a special purpose vehicle (SPV) between the landowner and the fund, where the landowner's share and the fund's share are registered in the SPV.

g) The real estate developer may contribute in-kind part or all the development value to the fund and convert it into units.

h) Before executing any purchase, assets shall be valued based on the average of two valuation reports from appraisers experienced in the region.

i) **Land may be sold before or during initial development in the following cases:**

1. The fund manager receives an offer to purchase the land in its current condition, and this offer achieves the expected investment return considering the investment risk level.
2. The fund manager obtains updated information not previously available, or events arise that suggest it is in the investors' best interest to sell the land in its current condition.

3) The investment or management strategies for Construction Development Funds are summarized as follows:

a) Focus on medium-sized cities for residential construction development funds intended for sale, with city selection based on the criteria mentioned in paragraph (a) of section (1.7.3) above.

b) Focus on major large cities for residential construction development funds intended for leasing or commercial construction development funds intended for leasing. Selection of major cities shall consider the availability of suitable land and expected returns.

c) The portfolio of construction development funds may include land classified for trading, which is sold later after project development and value appreciation due to development activities.

d) The landowner may contribute in-kind part or all of the land value to the fund and convert it into units. Entry may also be structured through establishing an SPV between the landowner and the fund, with shares recorded accordingly.

e) The real estate developer may contribute in-kind part or all of the development value to the fund and convert it into units.

f) Before any purchase, assets shall be valued based on the average of two valuation reports from experienced regional appraisers.

g) Residential construction development funds intended for sale include:

- Residential apartment buildings
- Detached villas
- Duplexes

h) The investment period for residential construction development funds for sale shall be equal to or less than (48) months from the fund's start date.

i) A liquidation timeframe margin not exceeding (24) months shall be set.

j) Residential construction development funds intended for leasing include:

- Residential apartment buildings
- Gated residential communities (apartments and detached villas)
- Detached villas
- Duplexes

k) Commercial construction development funds intended for leasing include:

- Commercial complexes
- Industrial complexes and warehouses
- Educational complexes
- Commercial buildings for furnished residential apartments or hotels

- Medical complexes

l) The investment period for construction development funds intended for leasing shall be equal to or less than (72) months from the fund's start date.

m) The selected land must be located within the urban development area and inside approved urban boundaries. The land must be solid, buildable, flat, free from geological defects, and not in a low-lying or floodplain area.

n) The minimum expected net annual return is set at (12%) for sale and (7%) for leasing, after deducting commissions and management fees.

4) The investment or management strategies for Income Real Estate Funds are summarized as follows:

a) Focus on major large cities, with city selection based on expected return and ease of sale and exit at the end of the fund's life.

b) Acquisition of existing leased properties with an annual return of no less than (7%) of the investment value and a building age not exceeding (15) years.

c) Property types eligible for acquisition include all types of residential and commercial properties.

d) Focus on properties leased under long-term lease contracts.

e) Focus on properties leased to governmental or quasi-governmental entities, or private sector companies with sufficient financial capability to ensure rental payment commitments.

f) The investment horizon is medium to long term (3 to 10 years).

g) The primary objective of the fund is to distribute periodic income to unit holders throughout the fund's duration. Therefore, the fund's terms and conditions must specify the exit mechanism from acquired properties and the fund manager's right to terminate the fund before the investment term ends.

h) Management of acquired properties shall be entrusted to a qualified and licensed real estate management company experienced and knowledgeable about the nature of the acquired properties, including maintenance, restoration, lease contracting, and collection activities.

5) The strategies applicable to the main types of real estate investment funds (Primary Development Funds, Construction Development Funds, Income Real Estate Funds) shall also apply to the subtypes of real estate investment funds (Opportunity Funds and Multi-Project Funds) and any other subtypes proposed by the company and approved by the Capital Market Authority, according to the nature of the opportunity or related project.

6) Real estate development activities in real estate funds shall be assigned to a qualified and licensed real estate developer with experience, knowledge, and a proven track record in planned development.
7) Supervisory and technical tasks shall be assigned to a specialized consulting firm.

8) An economic feasibility study must be prepared by a licensed consultant for real estate projects.

9) The minimum asset size of any real estate fund at inception shall not be less than (25,000,000) twenty-five million Saudi Riyals.

3.7.2 Private Equity Funds

1) The company invests in and manages private equity funds, which are collective investment funds primarily invested in ownership stakes of unlisted companies.

2) The types of private equity funds in which the company invests or manages are as follows:

a. **Venture Capital Funds:** These focus on building businesses by investing in companies at the idea stage or whose product development is incomplete and not yet marketed, so revenues and profits are expected over the medium to long term. This type of fund carries the highest risk; thus, the expected return exceeds normal market rates. The company contributes deeply to defining strategies and business plans of the target companies and designs and implements performance monitoring and business risk management mechanisms.

b. **Capital Growth Funds:** These focus on investing in operating companies that generate adequate revenues but require capital to develop products or enter new markets. This type carries moderate risk compared to venture capital funds. Private equity firms participate less deeply in strategy and business planning but ensure the presence and application of performance monitoring and business risk management mechanisms.

c. **Capital Buyout Funds:** These focus on investing in companies that have reached a stable stage with relatively steady cash flows. Private equity firms often finance the

acquisition through bank loans. This type carries relatively lower risk compared to venture capital or growth funds. Private equity firms generally participate in reviewing and developing strategies and business plans.

d. **General Private Equity Funds:** These are investment funds established to invest in and manage multiple types of private equity investments across various sectors (mixed).

e. **Sector-Specific Private Equity Funds:** These are investment funds established to invest in and manage private equity investments in specific sectors.

3) The legal form of the target company must be a "Closed Joint Stock Company." Investment in companies legally registered as "Limited Liability Companies" is permitted provided that the data confirms smooth administrative decision-making at the board level and approval by the fund's board of directors.

4) The target company must have been operating for no less than four Gregorian years, and its capital or total equity must not be less than ten million Saudi Riyals. Exceptions apply to companies classified as venture capital (start-up or under establishment).

5) The target company must have achieved a return on equity of no less than (20%) on average over the last two financial years. Exceptions apply to venture capital companies.

6) The target company is expected to achieve an annual return of no less than (15%) based on the total investment cost.

7) The target company must distribute no less than (50%) of the annual return and maintain a stable dividend distribution policy. Exceptions include venture capital companies and companies in growth and expansion phases requiring reinvestment of earnings in their core business.

8) Focus is placed on companies operating in the following sectors:

a) Retail

b) Education

c) Healthcare

d) Food and Beverages

e) Information and Communications Technology

f) Real Estate Development

9) The maximum percentage of the funds invested in any single sector shall not exceed (35%) of the total fund portfolio.

10) The value of the target company shall be determined based on a valuation study and a due diligence report conducted by independent consulting parties.

11) The maximum direct and indirect ownership percentage in any company shall not exceed (70%).

12) The maximum value of the fund's direct and indirect ownership in any company shall not exceed (50,000,000) fifty million Saudi Riyals.

13) The cumulative stop-loss limit for direct investments is (30%) of the original investment cost, and exit shall be made based on the fund manager's recommendation approved by the fund's board of directors.

3.7.3 Investment Funds in Securities

1. The company invests in and manages investment funds in securities, which are collective investment funds primarily invested in securities listed on financial markets.

2. Types of investment funds in securities by category include:

   a. **Trading Funds:** Collective investment funds that primarily invest assets in buying and selling securities listed on the financial market.

   b. **Initial Public Offering (IPO) Funds:** Collective investment funds specialized in investing in securities during their initial offering phase through book-building before listing in the financial market, as well as rights issues and securities listed for less than (36) months.

   c. **Income-Generating Securities Funds:** Collective investment funds investing in fixed income or regularly/semi-regularly distributed securities (such as Sukuk, income-producing REIT units, dividend equity funds, and stocks of companies with regular or semi-regular dividends).

3. According to section 3.3 of this document, investment funds in securities include the following investment strategies:

   a) Growth Strategy

   b) Balanced Strategy

c) Conservative Strategy

d) Income Strategy

e) Flexible Strategy

f) Focused Strategy

4. The minimum capital requirement for establishing all types of securities investment funds is SAR 1,000,000 (one million Saudi Riyals) per fund at inception. An exception is made for Initial Public Offering (IPO) funds, for which the minimum capital requirement is SAR 3,000,000 (three million Saudi Riyals) per fund at inception.

5. Securities investment funds are open-ended funds, allowing investors to purchase new units or redeem existing units at any time after the fund's establishment, in accordance with the subscription and redemption mechanisms set forth in the fund's terms and conditions memorandum.

3.7.4 Holding Investment Funds

1. The company invests in and manages holding investment funds, which are collective investment funds primarily targeting investments in other collective investment funds managed by other licensed entities.

2. A holding investment fund must invest in at least three (3) different investment funds, with allocations of no less than 5% and no more than 50% of the net assets of any single fund in which it invests.

3. The minimum size of any holding fund must not be less than SAR 3,000,000 (three million Saudi Riyals).

3.7.5 Diversified Asset Investment Funds

1. The company invests in and manages diversified asset investment funds, which are collective investment funds primarily targeting diversified assets including a balanced mix of equities, preferred shares, Murabaha contracts, Sukuk, in addition to units of investment funds and alternative investments (such as real estate investments, private equity, metals, commodities, and real estate investment trusts).

2. Diversified asset funds aim to provide a balanced investment solution for investors seeking a higher degree of diversification in their investment portfolios with low to medium risk levels.

3. The maximum investment in any single asset category must not exceed 35% of the fund's net assets, and the fund must invest in at least three different asset categories as described in clause (1) above.

4. The minimum size of any diversified asset investment fund shall not be less than SAR 1,000,000 (one million Saudi Riyals).

3.8 Private Client Portfolios

3.8.1 Classification and General Characteristics

1. The company manages private client portfolios, which are divided into two main categories:

a) Securities portfolios: focused on investing in listed securities (such as equities, preferred shares, debt instruments, and exchange-traded funds).

b) Diversified asset portfolios: focused on investing in listed securities (such as equities, preferred shares, debt instruments, and exchange-traded funds) in addition to alternative investments (such as real estate investments, private equity, metals, commodities, and real estate investment trusts).

2. Private client portfolios are classified according to investment strategy as follows:

a) **Personal (Individual) Strategy:** portfolios managed according to an individual investment strategy tailored to the client's personal investment requirements, agreed upon between the client and the company's asset management. The minimum value for any portfolio managed under this category is SAR 2,000,000 (two million Saudi Riyals).

b) **Growth Strategy:** a classification including a group of portfolios managed under a uniform strategy aimed at outperforming the average market performance and achieving capital growth over the medium to long term (36 to 60 months) by focusing investments on equities and preferred shares without restrictions on the number of holdings in the portfolio, with the possibility of maintaining cash or low-risk, highly liquid investments up to 10% of the portfolio

value. The minimum portfolio size under this category is SAR 2,000,000 (two million Saudi Riyals).

c) **Balanced Strategy:** includes portfolios managed under a uniform strategy aiming for balanced capital growth over the medium term (up to 36 months) with returns and risk levels lower than the growth strategy by investing in a limited number of securities, with a maximum of 30 securities, comprising a mix of different risk levels (such as equities, preferred shares, debt instruments, exchange-traded funds) with the possibility to hold cash or low-risk, highly liquid investments up to 50% of the portfolio value. The minimum portfolio size is SAR 2,000,000 (tow million Saudi Riyals).

d) **Conservative Strategy:** includes portfolios managed under a uniform strategy aiming to outperform the market dividend yield and achieve balanced capital growth over the long term (up to 60 months) by investing in a limited number of securities, with a maximum of 30 securities, comprising a mix of lower-risk securities (such as leading company stocks, preferred shares related to leading companies, debt instruments, exchange-traded funds), characterized by lower risk indicators than the market invested in, with the possibility to hold cash or low-risk, highly liquid investments up to 100% of the portfolio value. The minimum portfolio size is SAR 2,000,000 (two million Saudi Riyals).

e) **Income Strategy:** includes portfolios managed under a uniform strategy focusing on investments in securities expected to yield distributions at least 1% higher than the benchmark portfolio dividend yield. This is a long-term investment strategy (up to 60 months) comprising a mix of fixed, regular, or semi-regular dividend securities with varying risk levels such as equities, preferred shares, debt instruments, and distribution-yielding funds. The minimum portfolio size is SAR 2,000,000 (two million Saudi Riyals).

3.8.2 Investment Strategies and Risk Limits for Managing Private Client Portfolios

First Strategy: Personal (Individual) Strategy

The investment strategies for this category include:

1. **Markets and Geographic Scope:** Determined in the service agreement according to the client's personal requirements.
2. **Sharia Compliance:** Determined in the service agreement according to the client's personal requirements.

3. **Investment Scope:** Determined in the service agreement according to the client's personal requirements and consistent with other terms and conditions; specifying sectors in which to invest, any exclusions, and prohibited securities.

4. **Investment Horizon:** Determined in the service agreement according to the client's personal requirements.

5. **Maximum Sector Weight:** The client is advised on proposed weights consistent with the policies and operational procedures for managing private client portfolios, and determined in the service agreement according to the client's personal requirements as a percentage that may vary above or below the sector's weight in the investment scope, consistent with other terms and conditions.

6. **Maximum Investment Weight in a Company within the Portfolio:**
   The client is advised on the proposed weights consistent with the policies and operational procedures for managing private client portfolios. This is determined in the service agreement according to the client's personal requirements as a percentage that may increase or decrease relative to the company's weight in the investment scope, consistent with other terms and conditions.

7. **Maximum Ownership Percentage at the Company Level:**
   The client is advised on the proposed ownership percentages consistent with the policies and operational procedures for managing private client portfolios. This is determined in the service agreement according to the client's personal requirements and consistent with other terms and conditions.

8. **Loss Review Limit:**
   This refers to the relative size of the actual decline in the portfolio's market value, at which point the portfolio is reviewed and restructured if necessary. It is determined in the service agreement according to the client's personal requirements, consistent with other terms and conditions within this category.

9. **Maximum Number of Securities in the Portfolio:**
   Determined in the service agreement according to the client's personal requirements, consistent with other terms and conditions.

10. **Minimum and Maximum Liquidity Weight within the Portfolio:**
    Specified only for portfolios managed under the personal (Individual) strategy and

detailed in the service agreement according to the client's personal requirements, consistent with other terms and conditions.

11. **Performance Benchmark Index:**
A reference index for performance comparison (benchmark) determined in the service agreement according to the client's personal requirements, consistent with other terms and conditions, and aligned with the portfolio's defined investment scope. If the client prefers the portfolio not to be constrained by a benchmark index, this must be stated in the service agreement, and an alternative target return will be set for comparison.

12. **Performance Efficiency Index:**
Defined in the service agreement according to the client's personal requirements as a relative performance target compared to the benchmark index or the target return, consistent with other terms and conditions.

13. **Additional Technical Indicators:**
The client may add other technical indicators they wish to define within the personal portfolio strategy as additional appendices to investment constraints or performance indicators, after verifying no conflict with the portfolio's investment scope or performance benchmark. This is especially relevant for portfolios where performance incentive fees are calculated. Examples include:

- Beta measure of the portfolio and invested securities
- Standard deviation of portfolio performance
- Standard deviation of relative performance difference from the benchmark index

Second: Growth Strategy

The investment strategies for this category include the following:

1. **Markets and Geographic Scope:**
The Saudi Financial Market – Kingdom of Saudi Arabia, or any other financial market approved by the company's Investment Committee.

2. **Investment Scope:**
All securities listed in the financial markets mentioned in item (1) of this classification, compliant with the Shariah controls adopted by the entity responsible for Shariah supervision within the company.

3. **Investment Horizon:**
   Medium to long term (36 to 60 months).

4. **Securities:**
   The portfolio invests in shares and priority rights available in the financial markets mentioned in item (1) of this classification, without a maximum limit on the number of securities invested in within the investment scope, and compliant with the Shariah controls adopted by the entity responsible for Shariah supervision within the company.

5. **Primary Performance Benchmark:**
   The Ideal Rating (Rating Ideal) Index for Saudi stocks compliant with Islamic Shariah rulings, or a similar index that measures the performance of the investment scope and is calculated according to the investment restrictions of this strategy.

6. **Secondary Performance Benchmark:**
   The S&P Saudi Stocks Index compliant with Islamic Shariah rulings, or a similar unified index for this strategy calculated by an independent party.

7. **Performance Efficiency Indicator:**
   Determined as a relative performance compared to the primary performance benchmark and consistent with the investment restrictions of this strategy.

Third: Balanced Strategy

The investment strategies for this category include the following:

1. **Markets and Geographic Scope:**
   The Saudi Financial Market – Kingdom of Saudi Arabia, or any other financial market approved by the company's Investment Committee.

2. **Investment Scope:**
   All securities listed in the financial markets mentioned in item (1) of this classification, compliant with the Shariah controls adopted by the entity responsible for Shariah supervision within the company. It includes a mix of securities with different risk levels (such as stocks, priority rights, debt instruments, and exchange-traded funds).

3. **Investment Horizon:**
   Medium term (24 to 36 months).

4. **Securities:**
   The portfolio invests in all securities available in the financial markets mentioned in item

(1) of this classification. The portfolio shall consist of a maximum of 30 securities listed within the investment scope.

5. **Primary Performance Benchmark:**
   The Ideal Rating (Rating Ideal) Index for Saudi stocks compliant with Islamic Shariah rulings, or a similar index that measures the performance of the investment scope and is calculated according to the investment restrictions of this strategy.

6. **Secondary Performance Benchmark:**
   The S&P Saudi Stocks Index compliant with Islamic Shariah rulings, or a similar unified index for this strategy calculated by an independent party.

7. **Performance Efficiency Indicator:**
   Determined as a relative performance compared to the primary performance benchmark and consistent with the investment restrictions of this strategy.

Fourth: Conservative Strategy

The investment strategies for this category include the following:

1. **Markets and Geographic Scope:**
   The Saudi Financial Market – Kingdom of Saudi Arabia, or any other financial market approved by the company's Investment Committee.

2. **Investment Scope:**
   All securities listed in the financial markets mentioned in item (1) of this classification, compliant with the Shariah controls adopted by the entity responsible for Shariah supervision within the company. It includes a mix of securities with different risk levels (such as leading company stocks, priority rights related to securities issued by leading companies, debt instruments, and exchange-traded funds) characterized by risk indicators lower than the invested market.

3. **Investment Horizon:**
   Medium to long term (24 to 60 months).

4. **Securities:**
   The portfolio invests in all securities available in the financial markets mentioned in item (1) of this classification. The portfolio shall consist of a maximum of 30 securities listed

within the investment scope, compliant with the Shariah controls adopted by the entity responsible for Shariah supervision within the company.

5. **Primary Performance Benchmark:**
   The Ideal Rating (Rating Ideal) Index for Saudi stocks compliant with Islamic Shariah rulings, or a similar index that measures the performance of the investment scope and is calculated according to the investment restrictions of this strategy.

6. **Secondary Performance Benchmark:**
   The S&P Saudi Stocks Index compliant with Islamic Shariah rulings, or a similar unified index for this strategy calculated by an independent party.

7. **Performance Efficiency Indicator:**
   Determined as a relative performance compared to the primary performance benchmark and consistent with the investment restrictions of this strategy.

Fifth: Income Strategy

The investment strategies for this category include the following:

1. **Markets and Geographic Scope:**
   The Saudi Financial Market – Kingdom of Saudi Arabia, or any other financial market approved by the company's Investment Committee.

2. **Investment Scope:**
   All securities listed in the financial markets mentioned in item (1) of this classification, compliant with the Shariah controls adopted by the entity responsible for Shariah supervision within the company. These securities are expected to have a dividend yield at least 1% (absolute value) higher than the dividend yield of the portfolio's benchmark index. The portfolio includes a mix of securities with fixed, regular, or semi-regular dividends and different risk levels (such as stocks, priority rights, debt instruments, and dividend-yielding investment funds).

3. **Investment Horizon:**
   Medium to long term (24 to 60 months).

4. **Securities:**
   The portfolio invests in all securities available in the financial markets mentioned in item (1) of this classification, with no maximum limit on the number of securities invested within the investment scope.

5. **Primary Performance Benchmark:**
   Dividend yield of the Ideal Rating (Rating Ideal) Index for Saudi stocks compliant with Islamic Shariah rulings, or a similar index that measures the performance of the investment scope and is calculated according to the investment restrictions of this strategy.

3.9 Investment Weights in Securities

Without conflicting with the strategies for managing private client portfolios, the company's asset management strategies, the investment funds it establishes and manages, and the investment restrictions stated in this document, the general rule for determining asset weights in the investment portfolio is as follows:

1. For securities whose weight in the portfolio's benchmark index is equal to or greater than (1%), their weighted allocation in the portfolio shall be:
   a) The maximum weight is their weight in the benchmark index plus an absolute value of 15%.
   b) The minimum weight is their weight in the benchmark index minus an absolute value of 15%, or zero, whichever is greater.

2. For securities whose weight in the portfolio's benchmark index is less than (1%), their weighted allocation in the portfolio shall be:
   a) The maximum weight is their weight in the benchmark index plus an absolute value of 10%.
   b) The minimum weight is zero.

3.10 Financial, Technical Indicators, and Fundamental Analysis

1. All investments executed by the company, whether in its own portfolio or on behalf of clients' portfolios or investment funds it establishes and manages, must be based on fundamental research and analyses documented by the Executive Management in the Asset Management Department.

2. Portfolio managers at the company shall prepare a manual for the fundamental analysis mechanism, investment selection procedures, portfolio construction, and investment execution procedures on the portfolios, provided these do not conflict with the policies

and risk limits stated in this document. This manual must be approved by the company's Investment Committee prior to implementation.

3. As a general rule, the company mainly adopts the concept of fundamental analysis for investments listed or intended to be listed in the investment portfolio, whether for its own account, clients, or investment funds it establishes. Portfolio managers may rely on technical indicators as secondary indicators to support investment decisions. All financial and technical indicators and the fundamental analysis method are detailed in the manual referred to in item (2) above.

3.11 Liquidity Management

1. The company maintains a cash liquidity ratio equivalent to three times the average monthly expenses or the amount required to fulfill the financial adequacy rules, whichever is greater.
2. Temporary excess cash is invested in short-term low-risk financial instruments (money markets).
3. The financial management prepares a cash flow statement based on a six-month future projection, updated monthly on a weekly basis.
4. All maturities related to loans and financing Murabaha obtained by the company must have payment schedules set semi-annually, and the amounts should be pre-provided at least three business days in advance.
5. The financial management prepares a monthly updated report of actual financial indicators and those required by financiers as financial ratios to be maintained or achieved. The Risk Officer monitors this report regularly and issues notifications and alerts with a corrective plan to the CEO monthly.

3.12 Underwriting Operations

The company provides underwriting services as follows:

1. Underwriting operations include all securities offerings (stocks, Sukuk, rights issues, exchange-traded funds), either as lead underwriter or as part of a group of underwriters.

2. The total underwriting commitment value must not exceed 50% of the company's total equity or SAR 50,000,000, whichever is lower.
3. Underwriting operations must be approved by an authorized signatory according to the company's authority and responsibility manual, based on a recommendation from the CEO and CFO, relying on a financial and economic study of the security subject to underwriting and its issuing company.
4. The company shall not participate in more than one underwriting operation simultaneously.
5. Financial adequacy controls and the impact on the company's capital adequacy must be considered in any underwriting operation.
6. The valuation of the security underwritten shall be based on a price multiple not exceeding the average multiple of securities of the same category in the target market for listing, except for underwriting related to new company issues, which are underwritten at their nominal value.

3.13 Financing, Banking, and Working Capital Risks

1. The company is entitled to obtain financing that complies with Shariah regulations for itself and for the investment funds it manages.
2. Financing for investment funds shall not exceed the limits specified in the terms and conditions memorandum of the relevant fund.
3. The total financing of the company shall not exceed (150%) of its equity.
4. The liquidity ratio shall not be less than (1) time.
5. The company must deal with no fewer than two (2) banks concerning banking facilities.
6. The company must deal with no fewer than four (2) banks regarding its current accounts.

3.14 Market Crashes, Portfolio Restructuring, and Loss Prevention

Sudden market crashes may lead to a significant breach of the risk limits specified in this document, making timely investment decisions difficult, in addition to substantial declines in

the value of one or more portfolio assets over daily, weekly, or monthly periods. Therefore, the company's strategies for dealing with such events are as follows:

1. **Sudden Crashes**: A sharp, broad, and sudden decline in prices of all securities in a particular market, where the market loses a substantial portion of its value within one day. In such cases, it may be difficult to liquidate invested assets promptly. Therefore, portfolio managers must refer to the CEO requesting an immediate meeting of the Assets Committee and/or the Investment Committee for consultation and decision-making. The portfolio manager must also prepare an updated report of all portfolios managed by the company at current market prices.

2. As a general rule, during sudden market crashes, individual decisions to buy or sell should not be relied upon, even within the limits of the powers outlined in the company's approved Authorities and Responsibilities Manual.

3. Effective, reliable, and rapid communication channels must be established between portfolio managers, the CEO, and members of the Assets and/or Investment Committees to discuss the event, its implications, and take timely appropriate actions. If an urgent meeting cannot be held, communication via email or text messaging through mobile phones is allowed.

4. If the affected portfolio or portfolios are large enough to negatively impact the market when liquidated or sold, sales must be conducted gradually in a manner that does not affect the market unless otherwise decided by the Investment Committee or the company's supervising authority.

5. Portfolio restructuring for reasons other than sudden crashes must be done gradually, ensuring that the amount liquidated (sold) does not exceed 50% of the daily trading volume of a single security during one trading session. The same limits apply to purchases. Exemptions include subscriptions in initial public offerings, rights issues, and underwriting commitments, as well as liquidation of securities purchased in an initial offering that achieved a substantial return equal to or greater than 25% within a 90-day investment period.

6. Risk limits and their applicability may change according to investment management strategies, whether for private client portfolios or investment funds, in response to periodic market performance, operational performance of issuing companies, security prices, and other changes. Temporary breaches of these limits are allowed to avoid urgent corrective measures that might harm portfolio or market performance, provided

the portfolio manager notifies the Assets Committee of the breach and corrective plan to be completed within a maximum of 30 market working days. If correction is not feasible, the portfolio manager must request the CEO to escalate the matter to the Investment Committee for a decision.

3.15 Shariah Compliance

1. The company may contract with an independent Shariah supervisory board, either as an internal advisory body or an external Shariah advisory entity, to review and approve the company's products from a Shariah perspective.
2. The Shariah supervisory board provides the company with necessary Shariah compliance guidelines, and portfolio managers must ensure that the investment universe of the portfolio complies with these approved Shariah guidelines.
3. The approved Shariah guidelines are included in the service agreements and terms and conditions signed with clients.
4. All clients of private portfolios managed under Shariah-compliant investment strategies must be notified of any amendments to these guidelines after approval by the Shariah supervisory board, in accordance with the service agreement provisions.
5. All subscribers in investment funds managed under Shariah-compliant investment strategies must be notified of any amendments to these guidelines after approval by the Shariah supervisory board, in accordance with the relevant fund's terms and conditions memorandum.
6. The company provides clients of private portfolios with an annual purification report calculated according to Shariah supervisory board guidelines, and the client is responsible for the purification process.
7. The company conducts periodic reviews of companies forming its investment portfolios or managed investment funds and gradually sells securities that no longer comply with the Shariah guidelines approved by the supervisory board, in a manner that does not harm the investor or the financial market.

3.16 Drafting Service Provision Agreement Clauses for Clients

1. The clauses of the service provision agreement and the terms and conditions memorandum shall be technically reviewed by individuals with expertise and knowledge in client service provision and investment product management.
   These clauses shall be approved by the authorized person according to the company's approved Authorities and Responsibilities Manual.

2. If the service provision agreement, terms and conditions memorandum, and investment product management documents specify financial ratios and technical indicators, the portfolio manager must comply with them. The computational formulas used to calculate these ratios and indicators must be clearly stated within the service provision agreement and terms and conditions memorandum to avoid any future disputes regarding the calculation methods.

3. The service provision agreement and terms and conditions memorandum signed by the company for investing its assets or drafted for managing client portfolios must include all aspects referred to in the regulations and instructions issued by the Capital Market Authority. At a minimum, the agreement must cover the following aspects:

   a) Investment objectives and investment policy.
   b) Investment universe.
   c) Termination method of the agreement and exit from the investment product.
   d) Agreement date, validity, and initial investment amount.
   e) Investment term.
   f) Investment product risks.
   g) Portfolio-level stop-loss limits in private client portfolio management agreements (according to the client's requirements, if requested), which require full liquidation of portfolio components and termination of management upon incurring a certain loss level.
   h) Compliance with Shariah controls.
   i) Service fees, calculation method, payment method, and the time period during which fees are paid, including a practical example of how fees are calculated and how client additions and withdrawals are handled, either as a fee appendix or as an independent clause to ensure maximum transparency and clarity with clients.
   j) Periodic reports and contact address for correspondence.

1. AMENDMENT TO THE POLICY

This policy document will be reviewed and updated at least once every three years or as and when needed, and the owner of the policy has to be vigilant of any required amendments or updates.